This article forms part of MECA's ongoing IR Insights Series, developed from recurring advisory queries received from members

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Hot Topics

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One of the biggest mistakes employers make is treating poor performance as though it were misconduct.

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The proper starting point is usually not discipline-but clarification, alignment, and support.

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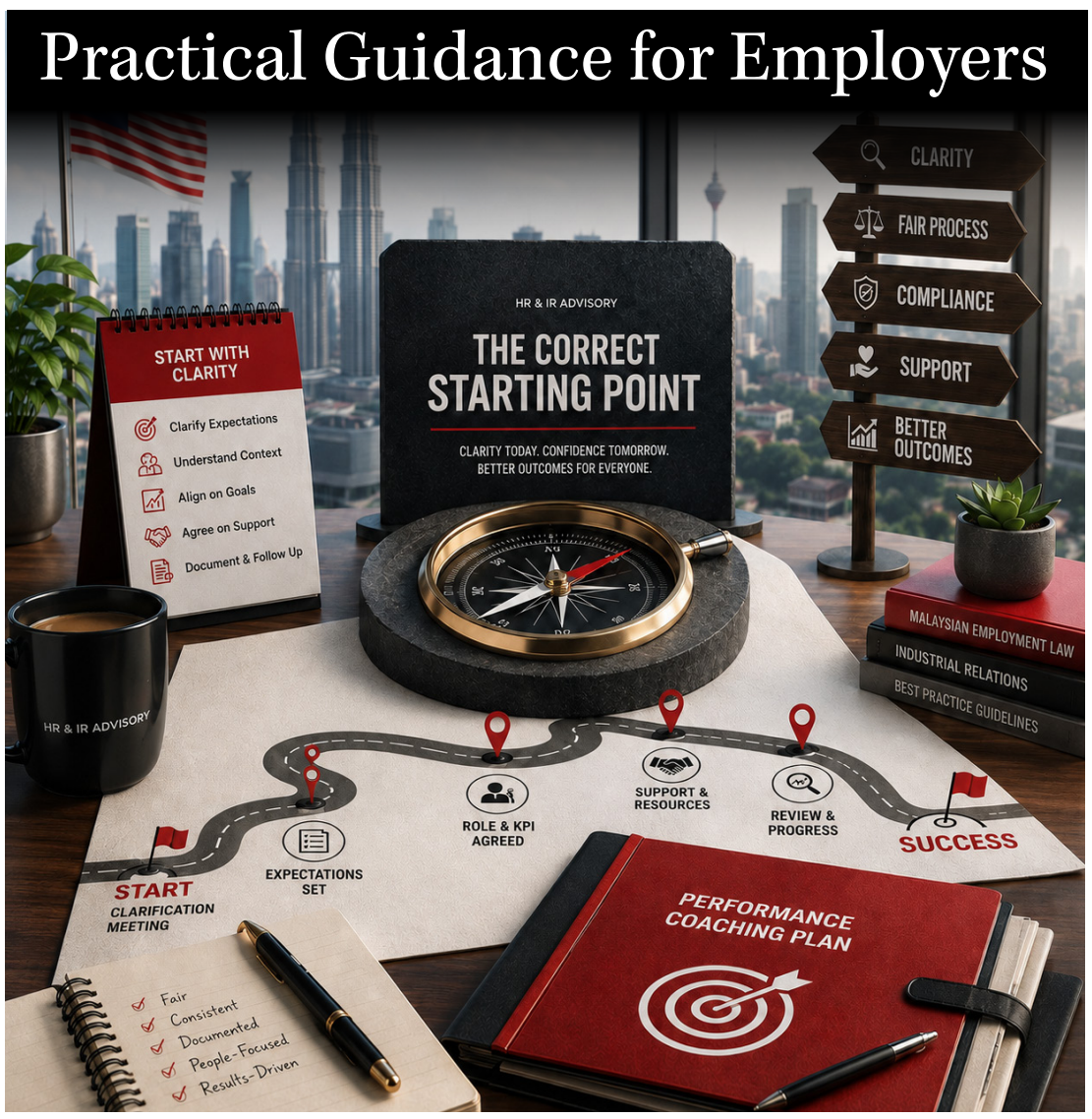
The PIP is often the central mechanism for managing underperformance.

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Managing Poor Performance:

Practical Guidance for Employers



Over the course of our advisory work, one of the most common and misunderstood issues we encounter relates to the management of poor or unsatisfactory performance.

Employers are often uncertain about:

- when poor performance becomes serious enough to justify termination;
- whether a Performance Improvement Plan ("PIP") is necessary;
- whether poor performance can be treated as misconduct;
- how probationers should be managed; and
- what level of documentation is actually required.

In practice, many unfair dismissal disputes do not arise because the employee was performing well, but because the employer failed to manage the process fairly, consistently, and with sufficient documentation.

This article distils recurring themes from actual advisory queries received by MECA into practical guidance for employers.

★ Key Takeaways

- Poor performance is generally a **capability issue**, not misconduct
- Employers should start with **clarification and support**, not punishment
- A proper **PIP is often the central tool** in managing underperformance
- Probationers are still protected against unfair dismissal
- Documentation and consistency are critical
- Managers play a key role in setting expectations and addressing issues early

Hot Topics

5 Escalation Within the PIP

Where performance does not improve, employers may adopt a structured escalation approach.

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6 Managing Probationers

Probationers are still employees and remain protected against unfair dismissal claims.

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7 Alternative Outcomes Beyond Termination

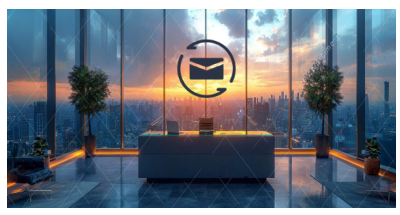
Not all poor performance situations require dismissal.

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8 Substance Over Labels

Decision-makers will look at the substance of what was done, not merely the labels used.

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1. Poor Performance vs Misconduct

One of the biggest mistakes employers make is treating poor performance as though it were misconduct.

These are not the same thing.



Poor Performance

Usually relates to:

- inability;
- lack of capability;
- unsuitability for the role; or
- failure to meet expected standards despite effort.



Misconduct

Usually involves:

- wilful refusal to follow instructions;
- insubordination;
- gross negligence;
- dishonesty; or
- deliberate breach of duty.

Employers should be cautious about prematurely issuing show cause letters for ordinary performance issues.

This may:

- incorrectly frame the issue as disciplinary;
- escalate the situation unnecessarily; and
- weaken procedural fairness later.

However, there are situations where poor performance and misconduct overlap.



Example: An employee repeatedly ignores critical procedures despite training and reminders, resulting in financial loss or operational risk.

In such circumstances, the issue may move beyond mere incompetence into:

- negligence;
- dereliction of duty; or
- misconduct.

The factual basis must support the characterization. Employers should avoid artificially labelling ordinary underperformance as misconduct simply to justify stronger disciplinary action.

2. The Correct Starting Point

The proper starting point is usually not discipline - but clarification, alignment, and support.

Many performance disputes arise because:

- expectations were never properly communicated;
- managers assumed the employee "should already know";
- standards changed over time; or
- performance concerns were only raised very late in the process.

Employers should therefore:

- clearly communicate expectations;



- identify specific performance gaps;



- understand the employee's explanation;

- provide support or guidance where necessary; and



- document discussions neutrally and contemporaneously.

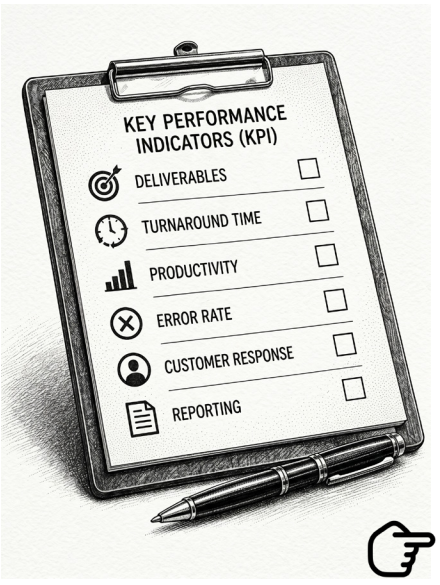
Before taking action, the employer should be able to show:

The employee knew what was expected and had a fair opportunity to improve.



Practical Tools for Managers

Managers are often technically strong but insufficiently trained in managing performance issues consistently. The following practical tools are useful:



Clear KPI Setting

Avoid vague statements such as:

- "improve attitude";
- "be more proactive"; or
- "perform better".

Instead:

- define measurable deliverables;
- turnaround times;
- productivity expectations;
- error rates;
- customer response timelines; or
- reporting expectations.

Employees must understand what success actually looks like.



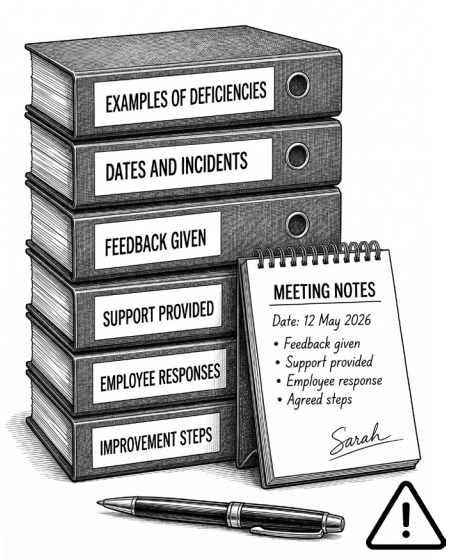
Regular Check-ins

Performance concerns should not surface only during annual reviews.

Managers should conduct:

- periodic check-ins;
- documented review sessions; and
- follow-up discussions.

Small corrections made early often prevent formal escalation later.



Documentation

One of the biggest weaknesses in performance disputes is poor documentation.

Managers should record:

- examples of deficiencies;
- dates and incidents;
- feedback given;
- support provided;
- employee responses; and
- agreed improvement steps.

Generic statements such as: ***"performance not satisfactory"*** **are rarely sufficient on their own.**



Training and Support

Before concluding that an employee is underperforming, employers should consider:

- whether adequate training was provided;
- whether expectations were realistic;
- whether resources were sufficient; and
- whether external factors contributed to the issue.

This is particularly important for:

- newly promoted staff;
- employees taking on expanded portfolios; or
- employees handling unfamiliar systems or processes.

3. The Role of the PIP (Performance Improvement Plan)

The PIP is often the central mechanism for managing underperformance.



A proper PIP should include:

- clear performance expectations;
- measurable targets;
- timelines and review checkpoints;
- support from the company;
- manager involvement; and
- consequences of continued underperformance.

A PIP Should Not Be a Mere Paper Exercise

A poorly managed PIP may weaken the employer's position if:

- targets are unrealistic;
- timelines are too short;
- the employee is set up to fail; or
- the outcome appears predetermined.

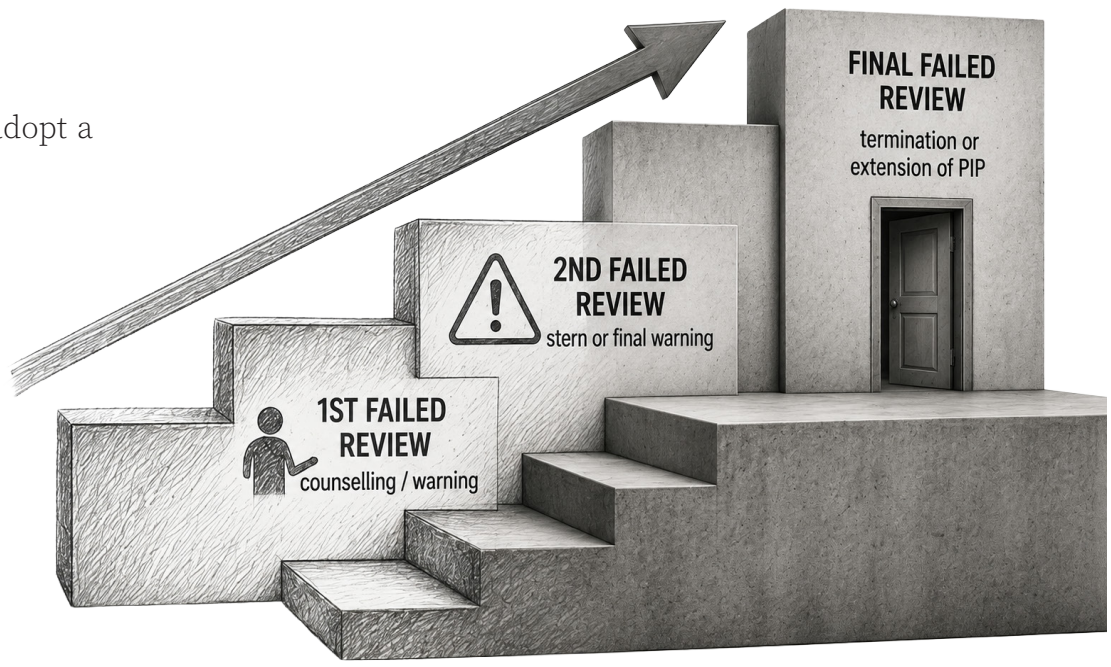


A PIP should genuinely aim to improve performance, not merely justify termination.

4. Escalation Within the PIP

Where performance does not improve, employers may adopt a structured escalation approach:

- 1st failed review → counselling / warning
- 2nd failed review → stern or final warning
- Final failed review → termination or extension of PIP



Warnings issued during a PIP should:

- identify shortcomings clearly;
- refer to previous discussions and reviews; and
- explain the consequences of continued failure.

Consistency is critical.

5. When Termination Becomes Defensible

Termination for poor performance is generally more supportable where the employer can show that:

- expectations were clearly communicated;
- deficiencies were specifically identified;
- support and guidance were provided;
- reasonable time to improve was given; and
- performance nevertheless remained unsatisfactory.

In short:

The process must demonstrate fairness, not merely dissatisfaction.



6. Managing Probationers

A common misconception is that probationers may be terminated freely without process.

This is incorrect.

Probationers are still employees and remain protected against unfair dismissal claims.

Employers should therefore ensure:

- performance expectations are communicated clearly;
- periodic reviews are conducted;
- concerns are raised early; and
- performance discussions are documented.

Common Mistake

One of the most common mistakes is allowing probation to proceed quietly for months, only to suddenly raise performance concerns close to confirmation.

This weakens the employer's position because it may suggest that:

- the employee had been performing satisfactorily throughout most of the probation period.



Practical Options

Where performance concerns arise during probation, employers may consider:

- extending probation (where improvement appears possible); or
- proceeding with non-confirmation with notice.

However, extensions should:

- not be excessive; and
- be accompanied by clear expectations and review criteria.

7. Alternative Outcomes Beyond Termination

Not all poor performance situations require dismissal.

Sometimes the issue is:

- role mismatch;
- promotion beyond capability; or
- misalignment between the employee's strengths and the role requirements.

Examples include:

- technically competent employees struggling in managerial roles; or
- employees better suited to operational rather than strategic functions.



Possible Alternatives

Employers may consider:

- **extending probation;**
- **additional training or mentorship;**
- **role adjustment; or**
- **offering an alternative or lower role.**



In some cases, the issue is not a lack of effort, but unsuitability for the level or nature of the role. For example, a technically competent employee may struggle in a managerial or strategic position despite support and coaching.

Where the employer has genuinely exhausted reasonable avenues to support improvement and can demonstrate continued unsuitability for the role, a redesignation to a lower or alternative position in lieu of termination may, in certain circumstances, be defensible.

The manner in which this is communicated is important. Employers may explain that despite support, guidance, and reasonable time for improvement, expectations for the current role have not been met and, rather than proceed with termination, the company is prepared to explore a role better suited to the employee's strengths and capabilities.

Important:
As a general rule, downgrades involving changes in role, salary, or responsibilities are safer where mutually agreed. Unilateral redesignations may expose the company to constructive dismissal claims, particularly where there is no genuine and well-documented performance management process preceding the change. Ideally, the redesignation should be positioned as an alternative to termination following a procedurally fair performance management process.

8. Long Service and Track Record

Greater caution is generally required where the employee:

- is long-serving; or
- has a previously strong performance record.

In such situations:

- the PIP should genuinely aim to rehabilitate performance;
- dismissal should not appear predetermined; and
- employers should be slower to rush toward termination.

Courts generally expect employers to show greater patience and support where an employee has demonstrated years of satisfactory service before performance deteriorated.

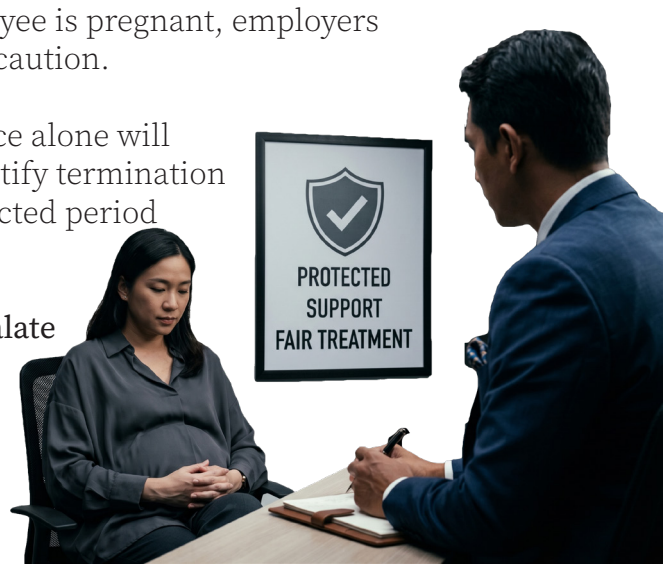


9. Pregnancy and Other Sensitive Situations

Where an employee is pregnant, employers should exercise caution.

Poor performance alone will generally not justify termination during the protected period unless:

- the facts escalate into genuine misconduct; or
- there is clear wilful breach of obligations.



The safer approach may be to:

- extend probation; or
- defer termination decisions until after the protected period where appropriate.



10. Performance vs Redundancy

Where the role itself continues to exist:

the issue is performance, not redundancy.

Employers should avoid using redundancy exercises to remove employees whose real issue is underperformance.

The proper route is:

- performance management;
- support;
- PIP; and
- documented review processes.



11. Final Principle: Substance Over Labels

Across all scenarios, the consistent principle is this:

Decision-makers will look at the substance of what was done, not merely the labels used.

The key questions will usually be:

- Were expectations communicated clearly?
- Were deficiencies identified specifically?
- Was support provided?
- Was reasonable time to improve given?
- Was the process documented properly?
- Was the employer acting fairly and consistently?



Conclusion: A Structured Approach is Key

The most common issue we observe is inconsistent and premature action.

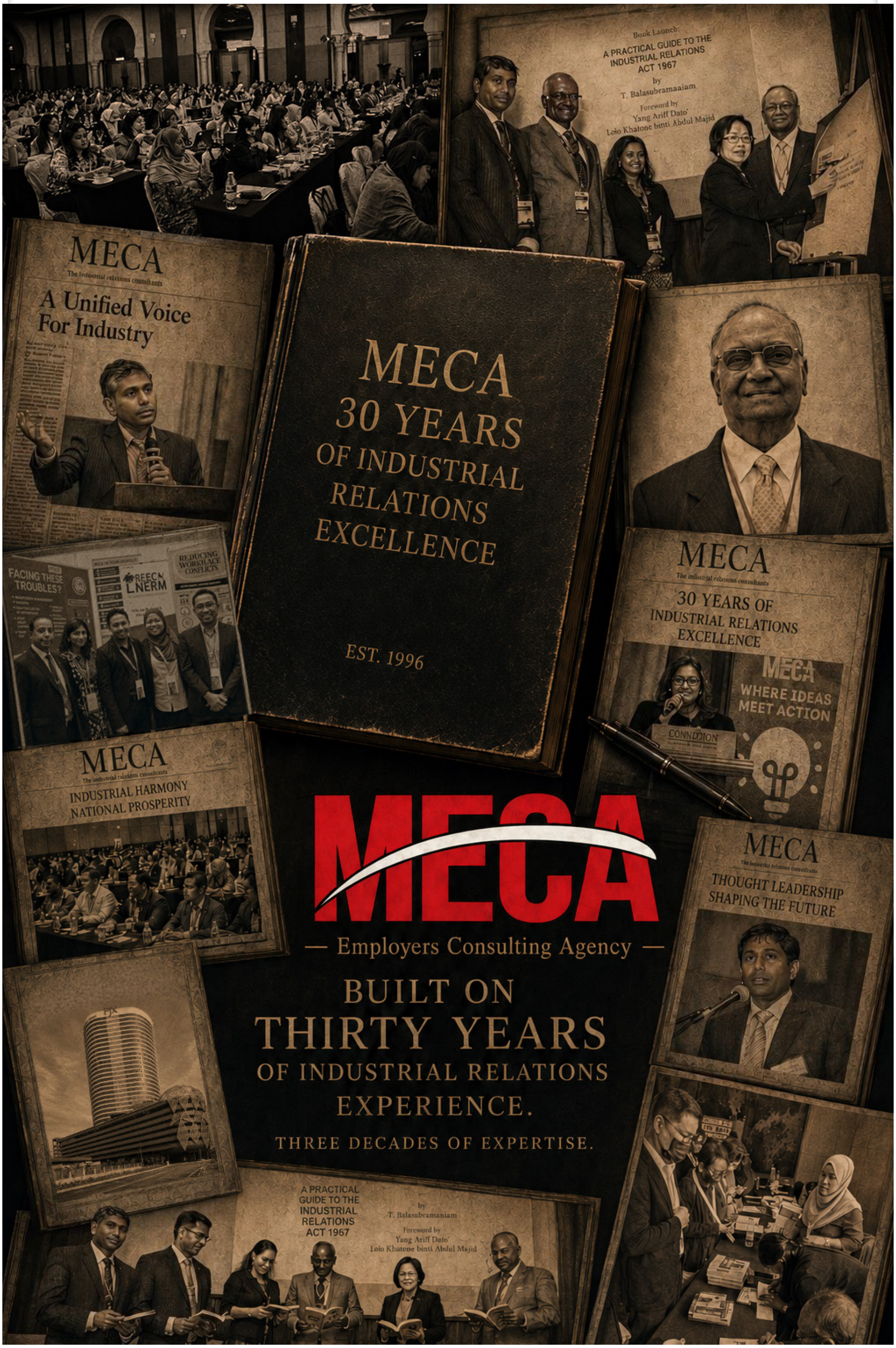
Employers should adopt a structured and defensible approach:

- start with clarification and support;
- identify and document gaps early;
- implement proper PIPs where appropriate;
- escalate progressively and fairly;
- distinguish carefully between performance and misconduct; and
- maintain proper documentation throughout the process.

A properly managed process not only improves the prospects of rehabilitation, but also strengthens the employer's position should termination ultimately become necessary.






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